

THIS ISSUE TRAINS · LOOKING PAST THE HEADLINE FIGURE

Money and markets

Nike reported earnings that beat Wall Street estimates, yet the stock fell. The headline numbers looked strong, but buried in the report was a 12 percent sales decline in Greater China, Nike's key growth market. Analysts from UBS and Bank of America kept their neutral ratings, arguing that even after the stock's pullback, shares were trading at 27 times estimated future earnings, a price that already assumed a strong recovery that the China numbers called into question.

The lesson is not that Nike is a bad company. It is that a single number, beat or miss, never tells you enough. What matters is which number, in which market, and what was already priced in.

The SCD takeaway: beating expectations and being in good shape are two different things. Always ask which specific number moved the price, and whether the story underneath it supports the headline.

Sources: CNBC, July 1, 2026.

Engineering corner

A phonon laser made of sound instead of light. In March 2026, scientists created a phonon laser: a device that produces a coherent beam of sound vibrations at the quantum level, analogous to how an optical laser produces coherent light. The breakthrough was not just building the device but dramatically reducing the noise in its output, making it precise enough to be useful. The applications range from ultra sensitive sensors to new ways of probing materials at the atomic scale.

The SCD takeaway: precision is not the same as power. A phonon laser is extraordinarily quiet, not extraordinarily loud. The value is in what it can detect, not what it can destroy.

Source: ScienceDaily, March 31, 2026.

Your move

Headlines give you a number. Understanding gives you the number behind the number. Nike's earnings beat was a headline; the China decline was the story. A phonon laser's achievement is not volume but quietness. In both cases, the obvious metric misleads and the hidden one informs.

This week, on your own: the next time you see a grade, a price, or a score, write down the one number behind it that actually explains the result. A test score of 78 percent tells you nothing; which questions you got wrong tells you everything.